

AI Infrastructure - China (H/A)

Powering AI: Jinpan, Weichai, Kehua, Nari, Dongfang Elec, Yingliu, LS Elec, Nuclear

Industry Overview

We concluded our one week AI infrastructure conference. This note summarizes the key findings in Powering AI from Hainan Jinpan, Weichai, Kehua, Nari, Dongfang Electric, Yingliu, LS Electric, CGN, Maxwell, Jinko, Wedge, Wasion and Nuclear & Power experts.

Power: robust AIDC growth & unique advantage for China

Owing to low costs, high adequacy, well-developed grid, and a robust equipment chain, power will be a unique advantage for China AI development. The power expert Mr. Jiang expects China data center power consumption to exceed 1,000TWh by 2030 vs. 235TWh in 2025. Nuclear (SMR) and ESS play critical roles. Both **CGN Power** and expert expect China power tariff to rebound after 2026. **Dongfang** and Nuclear expert forecast 8-10 units/year approval for China during 15th FYP period and are positive on nuclear export.

Global transformer shortages and strong grid investment

Speakers all expect ongoing global transformer shortages in FY26-28F due to US/ EU/ SEA grid upgrade and AIDC power needs. Overseas expansion (particularly the U.S.) and data center remain key earning drivers given the significantly higher margin. **Wasion** guides for RMB4bn and RMB7–8bn of data center-related orders in 2026E and 2027E. **Jinpan** expects its U.S. revenue to reach US\$425mn in 2026, +67% YoY, with its US factory starting in May26 and strong orders. **LS Electric** see robust orders from both the U.S. market and AIDC customers and is expanding capacity to meet growing demand. On the domestic front, **Nari** remains constructive on China's grid investment outlook.

Gas turbine orders far from peaking, strong diesel engine

Attending management all saw strong GT orders and expect global power shortages and supply tightness to last till 2028-30F. **Dongfang Electric** has secured GT orders from Canada and continues to receive inquiries from customers worldwide. Meanwhile, leading turbine blade manufacturers such as **Wedge** and **Yingliu** highlighted a multi-year upcycle in the GT industry, supported by accelerating orders from major global GT OEMs amid ongoing supply constraints. Chinese suppliers are rapidly expanding production capacity, improving manufacturing yields, and shortening delivery lead times, positioning themselves to capture market share from established global incumbents. In the engine segment, **Weichai** is also expanding its capacity in diesel engines, gas gensets, and SOFC products, supported by attractive profitability and robust demand.

ESS and power supply: solid demand

ESS demand remains strong, driving battery makers to expand capacity. **Gotion** noted that it has largely passed through higher lithium costs to customers, although lithium carbonate prices above RMB200k/t could become a headwind for downstream. **Jinko** and **Kehua** also remain positive on ESS demand globally. For power supply, Kehua guides 20–30% YoY growth in data center product sales supported by product mix expansion (HVDC and cooling) and clients expansion.

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Exhibit 1: Key stocks in AI Power

We present the key stocks involved below

Stock	PO	27E PE	27E ROE%
Jinpan	110	32	19%
Weichai	48	15	15%
Kehua	46	38	12%
Nari	29	18	17%
Dongfang Electric	56	11	12%
Yingliu	83	44	17%
LS Electric	310,000	47	27%
CGN Power	4	10	9%
Maxwell	280	47	17%
Jinko Solar	8	26	7%
Sinexcel	57	18	27%

Source: BofA Global Research

Takeaways

Jinpan (BUY; 688676 CH)

Jinpan 1Q26 overseas new orders reached RMB2.25bn, of which approximately RMB1.5bn came from data centers product. Relatively weak 1Q26 results was due to one-off issues and seasonality.

Management reiterated its strategic focus on the North American market and AIDC opportunities. Jinpan expects US revenue to reach US\$425mn in 2026 (+67% YoY), supported by its US capacity, and has already secured US\$1.5bn LTA from hyperscalers. For products, Jinpan continues to expand into high-voltage oil-filled transformers.

Overseas margins remain significantly higher than domestic levels, supported by a cost-plus pricing model and favorable industry dynamics. The company is also strengthening its overseas manufacturing footprint across Mexico, the US and Malaysia, with Mexico offering a cost advantage for serving the US market.

For domestic business, Jinpan focuses on maintaining product quality and profitability, while also emphasizing cash collection and working capital management. It also aims to gain share in structurally growing end-markets.

Jinpan's SST samples have been delivered to overseas clients for testing and validation. Jinpan possesses fully in-house R&D capabilities, with proprietary technologies spanning both hardware and software.

Weichai (BUY; 2338 HK)

Overall, the company sees robust demand for AIDC prime/backup power (gas gensets and SOFC) in the next 5-8 years. Management reaffirmed target to deliver over 3,500 AIDC engines in '26. Production capacity will reach 5k units by end-2026 & >8.5k units by end-2027 (diesel engine & gas genset). Mgmt expects gas gensets to start delivery of 2.5-3MW (M55 series) products from 4Q26 after client verification is done. In 2027, management expects to deliver over 1k units of AIDC gas genset, with less than 100 units 5MW product. The pricing strategy is based on configuration of products, competitive landscape, and TCO of AIDC. We believe the profitability of AIDC diesel engines is on par with that of global peers and the net margin of gas gensets will be higher than that of diesel engines.

The ASP of AIDC diesel engine is >RMB 2mn, while gas gensets are priced at nearly RMB10mn. The pricing strategy is based on configuration of products, competitive landscape, and TCO of AIDC, and generally 5% cheaper than international peers. The profitability of AIDC diesel engines is on par with that of global peers and the net margin of gas gensets will be higher than that of diesel engines.

Weichai sees higher system flexibility and lower power of SOFC solution compared with gas turbine/gas gensets. As such, SOFC solutions are suitable in some AIDC scenarios. Weichai is constructing the Phase-I capacity (30MW) for SOFC and expects production to commence by end-2026. It will expand the capacity to 200MW by 2027 and 1GW no later than 2030. Weichai's cost reduction of SOFC solutions will be supported by economies of scale, China supply chain, and its metal-supported SteelCell technical route. Management expects production cost per MW to be comparable to that of its US competitor as annual production volume ramps up during 2027-28.

Management stated that delivery of LNG HDT engines witnessed moderate growth YoY, despite the industry downtrend since April'26. Currently, export volume (direct + indirect) accounts for 40% of the company's total HDT engine sales. Given the rising electric HDT penetration rate in China, the company will focus more on promoting electric powertrain sales. For 5M26, the company recorded strong sales growth in electric powertrain, outpacing the industry electric HDT sales growth. We reiterate our Buy rating on Weichai

as we are positive on the solid growth outlook for its large-bore diesel/gas engines, given the solid data center demand and the incremental revenue from SOFC solutions.

Report link: [Weichai Power Co. Ltd \(H\): AI Infra. Conference takeaways: >3.5k units of AIDC engine/genset delivery in '26 25 June 2026](#)

Kehua (BUY; 002335 CH)

Kehua guides its data center products sales to growth 20-30% YoY in 2026 supported by Tencent's capex, product mix expansion (HVDC and cooling) and clients expansion. Company's overseas expansion of data center product will focus on Southeast Asia regions with Malaysia capacity and the subsidiary in Thailand. For next generation technology, Kehua covering 240V–800V HVDC solutions and SST products are also under development. Management sees the timing of broader HVDC deployment will depend on customer adoption and ecosystem development. While the margins for the new products may be lower than UPS due to fierce competition.

For renewables business (90% came from ESS&PCS), Kehua is selective in energy-storage bidding, prioritizing profitability over volume (more contribution from grid-forming ESS). Kehua is positive on its overseas expansion of ESS business with strong demand and higher margins. Management expects overseas sales to contribute c.20% of total sales in 2026 (mainly from ESS business). The higher contribution from overseas will help with margin improvement.

Kehua expects stable growth of smart energy business with stable gross margins of 35-40%.

Nari (BUY; 600406 CH)

Nari management guides 2026 sales to reach RMB75bn, +13% YoY and capex to reach RMB1.8bn in 2026. By segment, Nari guides smart grid/ energy&power/industrials integration sales to grow 10%/30%/20% YoY and power & digitalization business sales may be flat YoY in 2026.

On gross margins, Nari expects its smart grid business to remain broadly stable or see a slight YoY decline. The power & digitalization segment is guided to deliver YoY margin expansion, while the energy & power business is expected to experience a YoY margin decline. Gross margins for the industrial integration business are projected to remain largely flat YoY. Nari sees the impact of rising raw material costs is limited, as its main costs are electronic components and Nari works closely with suppliers on cost management, and most costs are locked in during the bidding process.

During the 15th Five-Year Plan (FYP) period, transmission and distribution grid investment is expected to grow in a coordinated manner. UHVDC remains a key growth driver with 3–4 projects approved annually. The integration of transmission, distribution, and microgrids are also highlighted. Grid investment may be front-loaded in the 1st year of 15th FYP.

Nari FY25 overseas sales reached RMB6bn accounting for c.9% of total sales and management expects 2026 overseas sales to reach RMB10bn. Nari is also actively conducting R&D on in-house IGBT.

Dongfang Electric (BUY; 1072 HK)

Management remains positive in gas turbine demand globally, not only in AIDC application but also in industrials and utilities. Dongfang Electric (DEC) has cumulatively secured orders for 15 overseas gas turbine units, including three units in Kazakhstan, two units in the Middle East, and 10 units for data center projects in Canada. For the



initial 10-unit gas turbine order in Canada, DEC plans to deliver two units in 4Q26, with the remaining eight units scheduled for delivery between 1Q27 and 3Q27. Overseas clients' inquiries have already exceeded 100 units. Looking ahead, the company expects to receive an order decision for the additional 10-unit from Canadian project by 1Q27.

DEC's gas turbine export capacity expansion plan includes: 1) its total GT export capacity to reach 25 units small-mid size GT (mainly 50MW product) and 3 units large size gas turbine (mainly 200MW product) by end 2027 vs 10 units 50MW product in 2025. 2) its total GT export capacity to reach 35 units small-mid size and 10 units large size by end 2029. Management is positive on the price, profitability, cost reduction and MRO income of gas turbine.

DEC expects annual approvals of c. 50GW of thermal power, 8–10 nuclear power units, and 30GW of hydropower capacity during the 15th Five-Year Plan period. The company remains constructive on the outlook for thermal power equipment exports, particularly driven by strong demand from Southeast Asian markets. For nuclear power equipment exports, DEC primarily collaborates with major Chinese nuclear developers, including China General Nuclear (CGN) and China National Nuclear Corporation (CNNC).

Yingliu (BUY; 603308 CH)

Management provided updates on its IGT customer pipeline and order outlook: 1) In May 2026, Yingliu signed a contract with Doosan Enerbility to supply casting components for two IGT models (90MW & 380MW). Deliveries are expected to commence by late-2027; 2) Yingliu signed a new LTA with Baker Hughes for 2026–31, replacing the previous LTA for 2023–27. Under the new LTA, Yingliu secured content in the LT16 model (was LT12 previously) and targets supplying components for 20 units of IGT per month over the long term; and 3) Yingliu obtained c.RMB70mn of orders from Siemens Energy (ENR) in 2025, but expects to record rapid growth from 2026, thanks to contribution from four heavy-duty IGTs signed in 2025. Management expects components for these four models to pass verification in 2H26. By 2028, Yingliu expects annual orders from ENR to reach RMB1bn. In the medium term, management expects Baker Hughes, ENR, and Ansaldo to become the top 3 clients in the IGT segment.

Yingliu is aggressively ramping up its casting capacity currently. Management expects its monthly production value of casting to reach RMB150mn by June 2026, up from RMB130–140mn in April–May 2026. The monthly production value will see higher MoM growth in 2H26, as its new VMFs will come online in 2H26. Its new machining and coating production lines will commence production in 2027. Management estimates gross margin to reach 40%. Currently, its yield rate is c.50% for SX blades and 70–80% for DS/equiaxed blades.

Management indicated that its delivery time for IGT components is roughly one year, compared with 25 months for international brands. With its machining and coating production line commencing production, the delivery cycle of casting, machining and coating is roughly 15 months. Yingliu attributes its shorter lead times to extensive experience in castings of traditional industrial equipment and flexible production arrangements. Its international peers have been raising prices of hot-section components since 2025, but Yingliu has adopted a modest stance given its priority in securing higher market share. Given the recent raw-material price hikes, Yingliu is able to pass through the cost to end customers with a flexing pricing mechanism. We maintain our Buy on Yingliu as we believe the tight blade supply, robust market demand, and high entry barriers will lead to strong earnings growth in 2025–28E.

Report link: [Anhui Yingliu \(A\): AI Infra. Conference takeaways: new IGT orders and capacity expansion 23 June 2026](#)

LS Electric (BUY; 010120 KS)

Strong order momentum: The company highlighted its ongoing strong momentum, mainly from the data center-related orders. According to local press, LS Electric has reportedly secured another power distribution contract for AI data center project from the US on 17 June, worth W106bn, to supply a 38kV high-voltage power distribution system.

Shorter lead time vs. competitors: LS Electric's lead time for data center switchgears is shorter than that of its competitors, which, in our view, is currently one of the most critical factors for securing new orders.

Capacity expansion plan: LS Electric expanded its high-voltage transformers capacity to W800bn in Oct'25 (previously c.W350bn) and plans to expand its switchgear capacity in the US (MCM Engineering) by 2028, with a revenue target of c.W300bn.

Capabilities in direct-current products: LS Electric has been developing its direct-current (DC) product portfolio over the past decade and has secured UL (Underwriters Laboratories Inc.) certifications, positioning the company well with a broad product lineup. LS Electric established a DC factory in Cheonan to address power market DC transformation, establishing an in-house microgrid using ESS (energy storage system) and solar power, and ensuring stable power conversion through parallel operation of SST (solid-state transformer) and PCS (power conversion system).

CGN Power (BUY; 1816 HK)

Tariff pressure & policy response: 2026 is seen as a tariff trough year, with long-term contract prices signed at historically low levels. In response, Guangxi and Liaoning introduced mechanism tariffs, safeguarding ~70% of power at approved tariff levels. These policies aim to ensure reasonable returns, and may serve as templates for broader rollout in other provinces depending on execution.

Computing-power synergy (AI): Management is cautious about “power–computing integration”. Direct physical connection between large nuclear units (~1GW scale) and data centers is seen as impractical due to dispatch constraints, load mismatch, and reliability requirements. Current cooperation mainly takes the form of market-based long-term contracts, while direct supply or SMR-based solutions remain long-term possibilities.

Fuel cost: Fuel costs face moderate upside pressure, mainly from higher uranium prices. Management estimates a ~6–7% increase in overall fuel costs from uranium, with the final impact depending on procurement mix and FX.

Earnings & near-term outlook: 1Q26 earnings declined mainly due to more overhaul days. Management guides 1H26 overhaul days to be broadly flat YoY, with lighter 2Q and improving 2H26 outlook driven by new unit asset injections (e.g. Cangnan, Huizhou), implying earnings picture to improve from the bad 1Q26.

Capex & funding: Capex is guided at >RMB85bn in 2026 (including asset injection of RMB8–10bn) and likely to remain elevated with ~20 units under construction. Annual funding gap is estimated at ~RMB7–8bn. The company sees room for higher leverage, project financing and potential equity raising, while maintaining majority ownership in projects.

Suzhou Maxwell Technologies (BUY; 300751 CH)

Business overview: HJT–perovskite tandem pilot lines are progressing (4 signed in 1Q26), but large-scale commercialization hinges on solving stability issues, likely around

2028. Semiconductor is the key growth area, spanning front-end (etching, deposition) and back-end (bonding, grinding, OLED tools).

Perovskite: Current orders are mostly pilot lines for R&D rather than mass production, with customers mainly smaller or new entrants. Early-stage lines are high-cost but expected to see significant value compression at GW scale. Industry ramp is slower than previously expected, with a ~2–3 year lag from pilot to volume production.

Semiconductor: Front-end equipment is the primary driver, with orders targeting ~RMB2bn this year (vs. ~RMB0.8bn last year). Focus is on niche etch segments (high selectivity), with relatively limited competition but smaller market size. Revenue recognition typically lags by over a year, and long-term margin targets are ~40–45% (front-end) and ~35–40% (back-end).

Orders & overseas: PV new orders are guided at ~RMB6bn in 2026, mostly from overseas markets, while non-PV adds ~RMB3.5–4bn. Delivery cycles are long (1–2 years), with revenue impact lagging. Overseas margins are higher by ~5–10ppt despite higher costs, while domestic demand recovery remains uncertain.

Strategy: HJT continues improving in cost (~RMB0.05/W advantage vs. TOPCon) and efficiency (close to BC). Silver reduction potential is limited, with silver-coated copper dominant. Maxwell targets both PV and non-PV reaching RMB10bn order scale within ~5 years, supported by sustained high R&D (~20% expense ratio), with over half allocated to semiconductors.

Jinko Solar (BUY; 688223 CH)

1) AI data center + storage: Jinko has launched integrated PV and energy storage solutions tailored for AI data centers, featuring upgraded modules with enhanced efficiency, stability, and fire safety, achieving top-tier certification. The latest products deliver 670–680W output with strong low-light performance, while storage systems offer millisecond-level response. Early traction includes a 2GW PV supply agreement in the UAE (part of a 5GW PV + 19GWh storage project), participation in GWh-scale tenders in North America, and collaboration with NVIDIA.

2) Growth & margin outlook: Jinko targets at least 10GWh energy storage shipments in 2026, up from 5GWh in 2025. Industry conditions are expected to remain stable in 2Q, with a meaningful demand recovery in 3Q. While 2026 global demand may decline slightly YoY due to China (about 200GW in 2026), the 2027 outlook is more positive, with global module demand projected to grow at 10–15% YoY in the medium term.

3) Product & profitability: AI-focused modules command a premium of over US\$0.01/W compared to standard products, in line with high-power module pricing. The share of high-power products is increasing rapidly, from 25% in 1Q to over 50% in 3Q, supporting margin improvement. Cost reductions from silver-coated copper technology (~RMB0.02–0.03/W) help mitigate pricing pressure. At current levels, ~RMB0.7/W module pricing represents gross profit breakeven, while ~RMB0.8+/W is required for net profit breakeven.

4) U.S. strategy & partnerships: Jinko has sold a 75% stake in its 2GW U.S. plant (with ~51% of proceeds received) to FH JKV Holding (FH). FH also owns 2GW of U.S. capacity, which will be integrated with the JV, with potential expansion into energy storage under consideration. A potential partnership with Tesla remains under discussion, driven by AI/data center power demand and localization requirements.

5) Industry & long-term roadmap: New efficiency standards (~23.8–24%+) are expected to phase out a portion of outdated capacity, accelerating industry consolidation over the next 2–4 quarters. Jinko is advancing toward integrated solutions (PCS, and maybe BMS, EMS, and data center power systems down

Sinexcel (BUY; 300693 CH)

Power quality: Management expects revenue from the power quality segment to grow by 20–30% YoY in 2026E, primarily driven by increasing demand from AIDC in overseas markets. Margins are expected to remain largely flat, supported by a more favorable competitive landscape and high entry barrier (mainly on sales channel).

New AIDC related products: Sinexcel established its AIDC department in 2025, focusing on R&D of AIDC-related products. The company has launched its medium-voltage product for testing and expects to begin securing orders by 2026.

PCS: management estimates revenue from PCS sales to grow by >30% YoY in 2026E, mainly driven by export growth (direct & indirect). Across different areas, management noticed rising demand in Europe and Asia.

Wedge (not covered; 000534 CH)

As one of the key Chinese superalloy suppliers for Industrial Gas Turbine (IGT) and aero engines, Wedge Industrial is positive on the IGT orders outlook in 2026-2027, mainly driven by 1) its increasing orders from Siemens Energy (ENR)'s heavy-duty models, 2) incremental orders from ENR's Aero Gas Turbine (AGT) and Stationary Gas Turbine (SGT) series aero derivative models, 3) robust orders from Ansaldo since the LTA in April 2026 and Chinese Original Equipment Manufacturer (OEM)s (Dongfang Electric, CSSC Guanghan Turbine, etc), 4) potential Maintenance, Repair and Overhaul (MRO) new clients from Middle Asia, Southeast Asia, etc. Looking forward, management expects to expand its casting production capacity from RMB1.8bn currently to RMB6bn by 2030, with 60% for IGT (55%/45% for MRO/OEMs) and 40% for aero engines. With large production scale and better efficiency, Wedge also targets over 40% gross margin for its IGT & aero engines business beyond 2028, up from 21% in 2025.

Wedge recorded roughly RMB100mn sales from aero engines segment (for Chang Jiang (CJ) Series engines) but targets 4-5x revenue size by 2028, thanks to the increasing production volume of CJ Series engines in China to 100 units by 2028, up from 10-20 units in 2025. Management expects the CJ-1000 will pass Production Certificate in 2027.

Wasion (not covered; 3393 HK)

Wasion is a Chinese leading smart meters and power distribution equipment suppliers. Wasion's FY25 NPAT reached RMB1.06bn and guides its revenue/NPAT to +20%/30% YoY in 2026. Data center-related business is expected to be the fastest-growing segment, supported by clients expansion (from DayOne to other customers) and product mix expansion (from power distribution equipment to power supply and cooling). Supported by these, company guides its new order signed of data center product to reach RMB4bn/RMB7-8bn in 2026/27.

Wasion achieved better than Chinese peers margins in smart meters business supported by vertical integration in relays and leading position in high end products. Company expects China smart meters tendering volume to reach 85m units/70-80m units in 2026/27 with a recovering product prices. For overseas smart meter business, company has solid market share in Mexico and Brazil.

Wasion has secured low voltage transformer orders from U.S. utility clients with capacity in Mexico. For smart meters, it is currently awaiting the completion of product certification in the U.S. market. Company also see a strong growth in overseas power distribution equipment business and gained transformer orders in Sweden.

Gotion (not covered; 002074 CH)

Gotion maintained battery shipment target of 150GWh (+c.50% YoY) in 2026, supported by robust demand across both EV (70% of total shipment) and ESS (30%) segments. EV battery shipment is supported by solid demand from Volkswagen, Leapmotor, Chery, etc. Within its EV battery shipment, passenger vehicles account for around 77% of shipment currently, while commercial vehicles contribute 23%, supported by its partnership with leading Chinese truck OEMs such as Sany and Shaanxi Auto, as well as overseas player Daimler. Management guided June planned production of 14.7GWh, while July planned production is likely to be 17GWh.

According to management, Gotion's battery shipments to the overseas markets accounted for 21% of total shipment in 2025, and further improved to > 30% in 1Q26. Management sees overseas shipment contribution at 25–30% in 2026. Volkswagen is Gotion's largest overseas EV battery customer, with deliveries likely to exceed 10GWh this year, mainly led by solid demand from models based on MEB platform, including ID series and Skoda. Gotion is ramping up its capacity to meet the fast-growing demand. Gotion's effective capacity was 150GWh, as of end-2025, and it plans to expand to 260GWh in 2026, including adding 70GWh for EV battery and 30-40GWh for ESS battery. In terms of capacity in the overseas market, Gotion currently has 5GWh capacity for VinFast plant in Vietnam, and its Morocco project (Phase-1 20GWh, with 10GWh effective capacity) is likely to be completed by 4Q26. In addition, its US and Slovakia plants are expected to commence operation from 2027.

Management stated that the company's margin is under pressure due to rising material prices (especially lithium carbonate) in 1H26. Gotion has passed on raw materials price hike to most customers, and expects its GPM to improve from 3Q26 onwards due to price adjustment lags. According to management, ESS battery's margins remain higher than EV batteries, with overseas EV/ESS battery GPM of 15-20%/20%, compared with GPM of 14–15% for domestic EV battery business. Management expects lithium carbonate prices to stay stable at RMB 150–160k per ton in 2H26, noting that ESS demand could weaken if prices rise above RMB 200k/t.

Nuclear expert- Zhou Sheng

Grid integration, load-storage, and direct data center supply: The U.S. faces acute AI-driven power shortages, supporting demand for gas turbines and SMRs, while China's stronger grid and storage infrastructure reduces urgency. Direct nuclear-to-data center connections face grid-operator hurdles, particularly around risk and profit sharing. In China, there is no clear rollout timeline—only pilot tests so far. Private capital participation remains largely financial (~10%), with strategic cases (e.g., Alibaba-CNNP) focused on long-term AI power security rather than near-term deployment scale.

Nuclear plant approval pace: Annual approvals are expected at 8–10 units, with >12 unlikely due to constraints in site preparation, fuel equipment, and regulatory review capacity. Downside risks are limited, as nuclear provides baseload stability (~7,500 hours/year) and zero-carbon value aligned with dual-carbon targets. New tariff mechanisms in Liaoning and Guangxi aim to address falling profits, but nationwide rollout is uncertain as nuclear in other provinces like Jiangsu have stronger bargaining power due to good power demand. Meanwhile, nuclear green certification remains largely aspirational, with no near-term implementation in sight.

Export opportunities and global competition: China's competitiveness stems from strong geopolitical positioning, shorter delivery cycles (4–5 years), lower financing costs, and extensive operational experience from standardized, batch construction—outperforming Western peers. South Korea's competitiveness is still weaker than China in the long term. Near-term opportunities are concentrated in countries with advanced negotiations (e.g., Argentina, Kazakhstan). Export strength lies in main equipment,

electrical systems, and standardized components, while I&C (Instrumentation & Control) systems lag in global brand recognition.

Nuclear technologies: In the U.S., AI-driven SMR projects is less cost-sensitive and could potentially come online within five years, whereas China's SMRs rely more on co-generation (heat/hydrogen) to improve economics. Gen-IV and thorium reactors remain under development. Floating nuclear faces high certification costs but offers island power potential (~2-year horizon). Nuclear fusion remains far from commercialization. Hualong One has achieved a high degree of localization (>85%); remaining unsubstituted components carry cost premiums but do not pose bottlenecks. Costs are gradually declining with batch construction, while the advantages of Gen-IV technologies still await commercial validation.

Fuel supply: Fuel costs (10–15% of total cost) are not a constraint, with supply-chain security improving through overseas mining and establishing full supply chain with reprocessing. Longer term new technology like fuel processing and 4th Gen can improve the utilization of fuel.

Power expert-Jiang Jiang

Mr. Jiang forecasts China data center power consumption to exceed 1,000TWh by 2030 from 235TWh in 2025. In his view, RMB5tn of grid investment during the 15th Five-Year Plan represents a reasonable base-case estimate, with key spending priorities likely to focus on smart grids, ultra-high-voltage (UHV) transmission, and power distribution. While large-model adoption remains at an early stage, token export is a highly certain long-term trend.

Mr. Jiang expects electricity prices in China to trend higher in next 3-5 years, driven by rising coal and broader energy costs, as well as increasing demand from extreme weather events and rapidly expanding data centers. A sustained increase in power prices should support further ESS deployment. In addition, the continued build-out of data centers in western China is expected to facilitate local renewable energy consumption.

The expert noted that the main revenue driver for ESS projects remains electricity price arbitrage, while capacity compensation provides an additional source of income. In the expert's view, the capacity compensation mechanism is sustainable and should continue to support the long-term economics and investment attractiveness of ESS deployment.

Exhibit 2: Abbreviation

Abbreviation

Abbr	Full
AGT	Aero Gas Turbine
AI	Artificial Intelligence
AIDC	AI data center
AIDC	artificial intelligence data center
BC	Back contact
BESS	Battery energy storage system
BMS	Battery management system
CJ	Changjiang
CNNP	China National Nuclear Power Co., Ltd.
CSP	Cloud service provider
CSSC	China State Shipbuilding Corporation
DS	directionally solidified
EMS	Energy Management System
ESS	Energy storage system
EV	electric vehicle
FX	Foreign exchange
FYP	Five-Year Plan
GW	Gigawatt
GWh	Gigawatt-hour



Exhibit 2: Abbreviation

Abbreviation

Abbr	Full
GT	Gas turbine
HDT	heavy duty truck
HJT	Heterojunction Technology
HVDC	High Voltage Direct Current
I&C	Instrumentation & Control
IGBT	Insulated Gate Bipolar Transistor
IGT	Industrial Gas Turbine
LNG	liquified natural gas
LTA	Long term agreement
LTA	long-term agreement
MRO	Maintenance, Repair and Overhaul
MW	Megawatt
OEM	Original Equipment Manufacturer
OEM	original equipment manufacturer
OLED	Organic Light-Emitting Diode
PCS	Power Conversion System
PV	Photovoltaic
R&D	Research and Development
SGT	Stationary Gas Turbine
SMR	Small Modular Reactor
SOFC	solid oxide fuel cell
SST	Solid state transformer
SX	single-crystal
TCO	Total cost of ownership
TOPCon	Tunnel Oxide Passivated Contact
TWh	Terawatt-hour
UPS	Uninterruptible Power Supply
UHVDC	Ultra-High Voltage Direct Current
VMF	vacuum melting furnace
W	Watt

Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 3: Stock mentioned

Stock mentioned

BofA Ticker	Bbg. ticker	Company name	Price	Rating
XKZNF	688676 CH	Hainan Jinpan	CNY 82	C-1-7
WEICF	2338 HK	Weichai Power Co. Ltd	HKD 35.96	C-1-7
XXLAF	002335 CH	Kehua Data	CNY 43.62	C-1-7
XLDF	600406 CH	NARI Technology	CNY 22.74	B-1-7
DNGFF	1072 HK	Dongfang Electric	HKD 21.5	C-1-7
XANHf	603308 CH	Anhui Yingliu	CNY 60.7	B-1-7
LGXSf	010120 KS	LS Electric	KRW 221500	C-1-7
CGNWF	1816 HK	CGN Power	HKD 2.71	B-1-7
XSBEF	300693 CH	Sinexcel	CNY 43.67	C-1-7
XJGCF	688223 CH	Jinko Solar	CNY 4.7	B-1-9
XSMTF	300751 CH	Suzhou Maxwell Technologies	CNY 261.93	C-1-7

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk**Anhui Yingliu (XANHf)**

We derive our PO of RMB83 per share for Yingliu by using the average of P/E and DCF valuation methods.

We derive a fair value of RMB81.2 from our DCF calculation, with FCF perpetuity growth

assumption of 3%. For WACC, we use 2.5% risk-free rate and 11% market return (both in line with what we use for Chinese industrial equipment companies under our coverage) and 1.15 Beta (historical 2-year Beta) to calculate and derive the discount rate (WACC) of 10.7%.

We derive a fair value of RMB83.2, based on 60x P/E multiple over the 2027E EPS. Our target PER of 60x P/E multiple is 0.25SD above the company's past 10-year 12-month forward trading P/E.

Upside risks: faster gas turbine capacity expansion by clients leads to stronger component demand, price hike due to tight capacity of hot-section components, development of CJ series aero engines faster than expected

Downside risks: raw material price hike, slower-than-expected capacity expansion, unsuccessful product verification with new clients

CGN Power (CGNWF)

Our price objective of HK\$3.9 is based on DCF valuation, forecasting cash flow from 2027E to 2035E. Our weighted-average cost of capital (WACC) is 4.0%, assuming a 1% terminal growth and company beta at 0.51.

Upside risks to our PO: 1) Higher-than-expected nuclear tariff, 2) lower-than-expected nuclear fuel cost, 3) higher-than-expected utilization hour, 4) major nuclear technology breakthrough, such as small modular reactor or fusion to accelerate deployment of nuclear power, 5) policy supporting nuclear power development (e.g., accelerating project approvals), 6) more direct power supply to customers locking in better returns.

Downside risks to our PO: 1) Rising market sales and weaker market tariff driving power tariff lower, 2) higher-than-expected nuclear fuel cost, 3) lower-than-expected utilization hour, 4) nuclear power plant accident, 5) large equity financing, 6) dividend cut.

Dongfang Electric (DNGFF)

Our SOTP-based PO for DEC H share is HKD56. We assign 45x average 2026/27 EPS to gas turbine business, in line with Chinese gas turbine component peers average due to similar growth and 30x average 2026/27 EPS to non-gas turbine segment to factor in China's demand on energy security and independency.

Upside risks: 1) higher-than-expected China baseload power capex amid with countercyclical investment and energy stabilities, 2) stronger-than-expected policy for coal-fired flexibility upgrade, 3) faster-than-expected progress of large size gas turbine R&D and export.

Downside risks: 1) weaker-than-expected China baseload power capex, 2) slower-than-expected ASPs and margins recovery, 3) slower-than-expected progress of large size gas turbine R&D and export.

Hainan Jinpan (XKZNF)

We assign 75x average 2027 P/E to Jinpan's artificial intelligence data center (AIDC) segment (in line with AIDC infrastructure peer's average level) and 33x 2027 P/E to the non-AIDC segment (largely in line with power equipment peers).

Downside risks: higher US/Europe tariff and trade disputes, slower pace of launching new overseas factories, fierce competition in low voltage transformer market, higher material cost, slower booking schedule.

Upside risks: lower tariff level, higher margin level, and faster booking schedule.

Jinko Solar (XJGCF)

We derive our price objective of RMB8.3 using DCF-based valuation. We think that DCF is an appropriate method to value Jinko, because Jinko's earnings and cash flow are supported by its stable module business, in line with the rest of our module coverage. We assume a WACC of 7.5% and a terminal growth rate of 3%.

Upside risks: 1) Solar manufacturers delay or cancel their capacity expansion plans, mitigating the oversupply risk. 2) Faster-than-expected industry consolidation when medium and small players go out of business. 3) PV demand stronger than our expectation.

Downside risks: 1) Solar manufacturers ramp up their capacity expansion plans. 2) slower-than-expected industry consolidation when medium and small players are sidelined. 3) PV demand is weaker than our expectations.

Kehua Data (XXLAF)

We derive our P/E-based PO with 40x 2027 PER, at around 1 standard deviation above its historical average P/E of 27x to factor in a higher earnings proportion from IDC products with a better sector margin vs. other businesses. Upside risks: better-than-expected China AIDC capex, better-than-expected China BESS demand, stronger overseas expansion of ESS products, potential breakthrough in developed market AIDC providers, etc.

Downside risks: worse-than-expected China AIDC capex, intensive competition, rising lithium prices, foreign exchange volatility losses, etc.

LS Electric (LGXSF)

Our PO of W310,000 is based on 40x '27E EV/EBITDA based on the average of fair multiple of power equipment companies with a high AI exposure. We view a premium multiple is warranted given above-peer earnings growth (37% EBITDA CAGR over 2025-28E vs. the average of 23%).

Downside risks are (1) slowdown in infrastructure spending on potential recession, (2) delays in new order from renewables on low cost crude price, (3) potential competition with low-cost producers.

Upside risks are (1) stronger-than-expected power equipment demand on AI/datacenter boom, (2) faster-than-expected rising US replacement demand, (3) reshoring initiative with further policy tailwind to the US export, (4) higher-than-expected US tariff impact.

NARI Technology (XLDF)

Our RMB29 PO is based on 24x average 26/27E PE, close to its average P/E since 2012 and in line with target PER for other domestic grid equipment companies.

Downside risks: 1) higher tariff level in its overseas markets, 2) slower-than-expected booking schedule, and 3) slower-than-expected pace of order growth.

Upside risks: 1) Higher-than-expected growth rate in the smart grid segment, 2) higher-than-expected margin from UHV investment, and 3) higher-than-expected dividend payout ratio, which may result into higher dividend yield.

Sinexcel (XSBEF)

Our PO of RMB57 is based on the average of DCF and P/E valuation.

Our DCF-derived valuation is RMB57. We apply 2.0% FCF perpetuity growth rate, and 11.9% WACC. Our P/E derived valuation is RMB57, based on 30x PER over 2026E EPS, slightly higher than 1SD above its historical average level since listing in 2017, which we believe is reasonable to reflect the recovery in ESS business & upcycle of AIDC supply chain.

Upside risks: stronger demand from data centers, faster pace of share gain, higher growth rate in ESS and charging pile, progress in R&D for HVDC/SST products.

Downside risks: higher tariff level, larger-than-expected tariff impact. slower growth in power quality segment, slower growth in charging piles, lower margin and fierce competition, lower revenue and margin from ESS segment

Suzhou Maxwell Technologies (XSMTF)

We have determined our price objective of RMB280 by using DCF-based valuation. We use 6.2% WACC (risk free rate at 3.0%, industry beta at 1.06 and equity risk premium at 7.0%) and 3% terminal growth rate.

Upside risks: The government may increase the PV installation target and policy support unexpectedly, which should benefit companies along the PV value chain. Penetration rate of HJT cell may rise faster than our expectation, due to rapid technology advancements or cost reductions.

Downside risks: PV installation may be lower than expectation, causing the demand for solar cell manufacturing equipment to shrink. Penetration rate of HJT cell may be lower than expectation, due to emergence of other technologies.

Weichai Power Co. Ltd (WEICF)

Our PO of HK\$48.2 for Weichai H is based on SOTP methodology. In our valuation, we use 14x EV/EBIT on its 2H26 & 1H27 EBIT to value its cyclical segments including engine, automobile, and components (including gearbox and axle). We use 11.5x EV/EBIT on 2H26 & 1H27 EBIT to value KION (Europe's largest and the world's second largest manufacturer of forklifts) based on historical average multiple, per our BofA European Capital Goods Research's estimates. We use 6x EV/EBIT on its 2H26 & 1H27 EBIT to value its agricultural machinery segment. We also use 7x 2028 EV/sales on its 2028 sales to value its SOFC system solutions.

Upside risks to our PO are faster infra FAI growth, Weichai's market share expansion, tightened control on HDT over-loading issue, faster elimination of NES IV HDTs, and higher-than-expected margin and market share of its LNG HDT engine.

Downside risks to our PO are slower-than-expected of property construction, slower growth in demand from logistics, lower-than-expected market share for fiercer competition and slower-than-expected sales growth in KION.

Analyst Certification

We, Matty Zhao, Fiona Liang, Gary Tsang, Peter Wang, Summer Wang, CFA and Sun Jung Lee, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	Anhui Yingliu	XANHF	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XYMYR	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNVVF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XXMLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yuchai International	CYD	CYD US	Fiona Liang
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL				
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXXF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Zhejiang Supcon Technology	XDXXF	688777 CH	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA
UNDERPERFORM				
	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Narumon Ekasamut
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang

APR - Energy Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	China Shenhua	CUAEF	1088 HK	Matty Zhao
	China Shenhua	XCUAF	601088 CH	Matty Zhao
	COSL	CHOLF	2883 HK	Yiming Wang
	COSL	XCNRF	601808 CH	Yiming Wang
	Dongfang Electric	DNGFF	1072 HK	Peter Wang
	Dongfang Electric	XDNFF	600875 CH	Peter Wang
	Formosa Plastics	FSAPF	1301 TT	Sun Jung Lee
	GAIL Limited	XGLAF	GAIL IN	Bharat Subramanian
	GAIL Limited	GAILF	GAID LI	Bharat Subramanian
	GS Holdings	GSHDF	078930 KS	Sun Jung Lee
	Indorama Ventures Public Company Limited	INDMF	IVL TB	Komsun Suksumrun
	Indraprastha Gas	XTNFF	IGL IN	Bharat Subramanian
	Kehua Data	XXLAF	002335 CH	Matty Zhao
	Kumho Petrochemical	KKMHF	011780 KS	Sun Jung Lee
	L&F	XLNTF	066970 KS	Taekyoung Ha
	LG Chem	LGCLF	051910 KS	Sun Jung Lee
	LG Energy Solution	XQIEF	373220 KS	Taekyoung Ha
	Mahanagar Gas	XMGRF	MAHGL IN	Bharat Subramanian
	Muyuan Foods	XMFXF	2714 HK	Matty Zhao
	Muyuan Foods	XYMYF	002714 CH	Matty Zhao
	Oil and Natural Gas Corporation Limited	XOFOF	ONGC IN	Bharat Subramanian
	PetroChina	PCCVF	857 HK	Matty Zhao
	Petrochina Co Ltd-A	XPCLF	601857 CH	Matty Zhao



APR - Energy Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	PTT Exploration	PTXLF	PTTEP TB	Komsun Suksumrun
	PTT Global Chemical PLC	XPGOF	PTTGC TB	Komsun Suksumrun
	PTT pcl	PTTPF	PTT TB	Komsun Suksumrun
	Reliance Inds	XRFLF	RELIANCE IN	Sachin Salgaonkar
	Sinopec	SNPMF	386 HK	Matty Zhao
	Sinopec -A	SNPAF	600028 CH	Matty Zhao
	SK Innovation	SKOVF	096770 KS	Sun Jung Lee
	S-Oil	SOOCF	010950 KS	Sun Jung Lee
	Star Petroleum Refining	XSJSF	SPRC TB	Komsun Suksumrun
	Sungrow Power	XCBIF	300274 CH	Matty Zhao
	Thai Oil - L	TOIJF	TOP TB	Komsun Suksumrun
	Wanhua Chemical	YWNHF	600309 CH	Yiming Wang
	W-Scope Chungju Plant	XWSWF	393890 KS	Taekyoung Ha
	Yankuang Energy	YZCHF	1171 HK	Matty Zhao
	Yankuang Energy	YZCIF	600188 CH	Matty Zhao

NEUTRAL

	China Coal	CCOZF	1898 HK	Matty Zhao
	China Coal	XAWLF	601898 CH	Matty Zhao
	Formosa Chemicals & Fibre	FMSFF	1326 TT	Sun Jung Lee
	Hanwha Solutions Corp.	HNWFF	009830 KS	Sun Jung Lee
	Indian Oil Corporation Limited	IOCOF	IOCL IN	Bharat Subramanian
	Kunlun Energy - H	KUNUF	135 HK	Yiming Wang
	Lotte Chemical Corporation	XLCCF	011170 KS	Sun Jung Lee
	Nan Ya Plastics	NNYPF	1303 TT	Sun Jung Lee
	Oil India Limited	XLCRF	OINL IN	Bharat Subramanian
	People & Technology	XDFYF	137400 KS	Taekyoung Ha
	Petronet LNG	POLNF	PLNG IN	Bharat Subramanian
	PTT Oil and Retail Business	XNINF	OR TB	Komsun Suksumrun
	Sinopec Engineering	SENGF	2386 HK	Yiming Wang

UNDERPERFORM

	Bharat Petroleum Corporation Limited	XBPCF	BPCL IN	Bharat Subramanian
	Ecopro BM	XKURF	247540 KS	Taekyoung Ha
	Formosa Petrochemical	FPTCF	6505 TT	Sun Jung Lee
	Gujarat Gas	XGGRF	GUJGA IN	Bharat Subramanian
	Hindustan Petroleum Corporation Limited	XHTPF	HPCL IN	Bharat Subramanian
	IRPC	IRPSF	IRPC TB	Komsun Suksumrun
	Petronas Chemicals	PECGF	PCHEM MK	Sun Jung Lee
	POSCO Future M	XTAMF	003670 KS	Taekyoung Ha
	Sinopec Shanghai Petrochemical Co	SPTJF	338 HK	Yiming Wang
	Sinopec Shanghai Petrochemical Co	SINFF	600688 CH	Yiming Wang
	SK IE Technology	XKWRF	361610 KS	Taekyoung Ha
	SKC	XSXOF	011790 KS	Taekyoung Ha
	Solus Advanced Materials	XSOAF	336370 KS	Taekyoung Ha

APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Aboitiz Power Corporation	ABZPF	AP PM	Julian Roxas
	B.Grimm Power	XVSGF	BGRIM TB	Narumon Ekasamut
	Beijing Enterprises Holdings Limited	BJINF	392 HK	Cissy Guan
	Beijing Enterprises Water	BJWTF	371 HK	Cissy Guan
	CGN Power	XALQF	003816 CH	Gary Tsang
	CGN Power	CGNWF	1816 HK	Gary Tsang
	China Everbright Environment Group	CHFFF	257 HK	Cissy Guan
	China Yangtze Power Co., Ltd	CYGZF	600900 CH	Gary Tsang
	CK Infrastructure Holdings	CKISF	1038 HK	Cissy Guan
	CLP Holdings	CLPHF	2 HK	Cissy Guan
	CLP Holdings - A	CLPHY	CLPHY US	Cissy Guan
	Doosan Enerbility	DOHIF	034020 KS	Taekyoung Ha
	First Gen Corporation	FSGCF	FGEN PM	Julian Roxas
	Guangdong Investment	GGDVF	270 HK	Cissy Guan

APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Guangxi Guiguan Electric Power Co Ltd	XGPEF	600236 CH	Charlotte Xia
	Gulf Development	XKRIF	GULF TB	Narumon Ekasamut
	Jiangsu Zhongtian Technology	XJFJF	600522 CH	Gary Tsang
	Jinko Solar	XJGCF	688223 CH	Gary Tsang
	Manila Electric Co.	MERVF	MER PM	Julian Roxas
	Manila Water	MWTCF	MWC PM	Julian Roxas
	NHPC Ltd	XNTHF	NHPC IN	Amish Shah, CFA
	Ningbo Orient Wires & Cables	XORRF	603606 CH	Gary Tsang
	NTPC Ltd	NTHPF	NTPC IN	Amish Shah, CFA
	Power Assets	HGKGF	6 HK	Cissy Guan
	Power Grid Corporation of India Ltd	XPWF	PWGR IN	Amish Shah, CFA
	Sembcorp Industries	SCRPF	SCI SP	Jessie Lo
	Shenzhen Gas	XSRAF	601139 CH	Cissy Guan
	Synergy Grid & Development Phils., Inc.	XSLIF	SGP PM	Julian Roxas
	Tenaga Nasional Berhad	TNABF	TNB MK	Jessie Lo

NEUTRAL

	China Power International	CPWIF	2380 HK	Charlotte Xia
	China Resources Gas Group Limited	CRGGF	1193 HK	Cissy Guan
	China Resources Power	CRPJF	836 HK	Gary Tsang
	Electricity Generating Company Ltd.	EYGGF	EGCO TB	Sirichai Chalokepunrat
	Global Power Synergy	XWODF	GPSC TB	Narumon Ekasamut
	Korea Electric Power Corp	KEPLF	015760 KS	Taekyoung Ha
	Korea Electric Power Corp	KEP	KEP US	Taekyoung Ha
	Ratch Group PCL	XEGEF	RATCH TB	Sirichai Chalokepunrat

UNDERPERFORM

	ACEN Corporation	ACPIF	ACEN PM	Julian Roxas
	China Datang Renewable	XGDRF	1798 HK	Gary Tsang
	China Gas Holdings Limited	CGHOF	384 HK	Cissy Guan
	China Longyuan Power Group Corp. Ltd.	CLPXF	916 HK	Gary Tsang
	China Longyuan Power Group Corp. Ltd.	XXRYF	001289 CH	Gary Tsang
	China Three Gorges Renewables	XWRFF	600905 CH	Charlotte Xia
	Hong Kong & China Gas	HOKCF	3 HK	Gary Tsang
	Huadian Power International	HPIFF	1071 HK	Charlotte Xia
	Huadian Power Intl Corp-A	HPIZF	600027 CH	Charlotte Xia
	Huaneng Power International	HUNGF	902 HK	Gary Tsang
	Huaneng Power-A	HUNWF	600011 CH	Gary Tsang
	JA Solar	XJSTF	002459 CH	Gary Tsang
	LONGi Green Energy Technology	XAQZF	601012 CH	Gary Tsang
	SDIC Power Holdings	XLGVF	600886 CH	Charlotte Xia
	Tata Power Company Ltd	XNSGF	TPWR IN	Amish Shah, CFA
	Trina Solar	XVSLF	688599 CH	Gary Tsang

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Electrical Equipment Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	18	66.67%	Buy	9	50.00%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	2	33.33%

Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	67	63.81%	Buy	36	53.73%
Hold	13	12.38%	Hold	6	46.15%
Sell	25	23.81%	Sell	11	44.00%



Equity Investment Rating Distribution: Utilities Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	82	50.62%	Buy	61	74.39%
Hold	38	23.46%	Hold	33	86.84%
Sell	42	25.93%	Sell	20	47.62%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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